

The End of the Crypto-Diversification Myth

Advanced Financial Theory - MsQEF

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The Crypto-Diversification Puzzle

fig1.png

Research Question

- What drives the Bitcoin and stock cross-asset price correlation since March 2020?
- **Mechanism:** Retail investors' trading habits
- Theory driven model of retail investors with testable hypotheses
- Empirical evidence from unique dataset: A Swiss bank's crypto trading clients

Theoretical Framework

- Extension of the Kyle (1985) model to two assets, crypto and stock
 1. Informed “insider” and uninformed “noise” traders with market makers who cannot distinguish between these two
 2. Price correlation between markets come from spillovers between the two markets
- **Assumptions**
 1. Uncorrelated fundamentals: No mechanism links Bitcoin and stock market fluctuations
 2. Segmented market-making: Sum of trades in one market cannot be observed by the other (reasonable for 2020)
 3. Correlated uninformed investor trading: Sentiment (+) or wealth effects (–)
- **Prediction** **work here** $\text{Cov}(p_1, p_2) > 0 \iff \rho > 0$ (retail correlation drives price correlation)

Data

- Opening with the correlation graph (the one provided)
- Key question: Why did Bitcoin-S&P500 correlation jump from 0 to 0.6 in March 2020?
- Challenge to the "crypto as diversification" narrative
- Motivation: Policy implications of crypto-equity market linkages

Identification Strategy

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Results 1

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Results 2

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Results 3

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Contribution

Implications and Current Relevance

Bullet Points

- Lorem ipsum dolor sit amet, consectetur adipiscing elit
- Aliquam blandit faucibus nisi, sit amet dapibus enim tempus eu
- Nulla commodo, erat quis gravida posuere, elit lacus lobortis est, quis porttitor odio mauris at libero
- Nam cursus est eget velit posuere pellentesque
- Vestibulum faucibus velit a augue condimentum quis convallis nulla gravida

Blocks of Highlighted Text

In this slide, some important text will be **highlighted** because it's important. Please, don't abuse it.

Block

Sample text

Alertblock

Sample text in red box

Examples

Sample text in green box. The title of the block is "Examples".

Multiple Columns

Heading

1. Statement
2. Explanation
3. Example

Lorem ipsum dolor sit amet, consectetur adipiscing elit. Integer lectus nisl, ultricies in feugiat rutrum, porttitor sit amet augue. Aliquam ut tortor mauris. Sed volutpat ante purus, quis accumsan dolor.

Table

Treatments	Response 1	Response 2
Treatment 1	0.0003262	0.562
Treatment 2	0.0015681	0.910
Treatment 3	0.0009271	0.296

Table: Table caption

Theorem

Theorem (Mass–energy equivalence)

$$E = mc^2$$

Figure

Uncomment the code on this slide to include your own image from the same directory as the template .TeX file.

Citation

An example of the `\cite` command to cite within the presentation:

This statement requires citation [?].

References



John Smith (2012)

Title of the publication

Journal Name 12(3), 45 – 678.

The End